

INTERVIEW | SHARAD PAWAR

"Farming is becoming unviable"

Unless there's a major infusion of investment, agriculture will continue to suffer, the Union minister for food and agriculture tells Managing Editor RAJ CHENGAPPA. Excerpts:

Q. What is the reason behind the recent deceleration in agricultural growth?

A. The deceleration started in 1995-96. The main reason is that the budgetary provision for agriculture has come down significantly, it's only about 2 per cent. The annual spending on irrigation is just 0.35 per cent. So while communication was getting 13 per cent, agriculture, on which 68 per cent of the population is dependant, was getting only 2 per cent. Secondly, population pressure. In 1947, the population of the country was 35 crore. Now we are at 106 crore.

Q. Availability of land for farming has also come down.

A. More and more agricultural land is being used for non-agricultural purposes. Whether it's any industry, express highway or expansion of any city, agricultural land is being used. As a result, 80 per cent of the farmers have land below one hectare. It's practically impossible to manage a family of five with one hectare. That's why agriculture is becoming unviable. Recently, in a survey, 40 per cent of the farmers said they don't want to continue in the profession.

Q. Is agricultural credit also drying up?

A. The supply of long-term loan, which is required for capital investment, has practically stopped. There was an institution called the Land Development Bank in every district of the country. Most of them have shut down now. Now, under the UPA the total monetary support for crops provided by co-operative and public banks is near Rs 83,000 crore. We have decided to double this amount in three years.

Q. Is the era of food-sufficiency over? Are we going to be importers of food grains if we continue like this?

A. There was a shortfall of wheat last year. But even then there was no problem of procurement. Now, due to an amendment we brought about for the welfare of farmers in the Agriculture Produce Market Act, procurement has become a problem. Earlier, the farmer had to take his

produce to the regulated *mandi*. He had no right to sell elsewhere. We decided to remove that provision. If an industrialist can sell his products anywhere in India and the world, why should a farmer not be allowed to do so? The Food Corporation of India (FCI) was the first to suffer because of this. It procures grains from farmers and for the first time, the farmer refused to come to the *mandi*. That's why procurement was affected and last year I had to import 5 million tonne of wheat.

Q. Has the demand for wheat increased?

A. Food habits in the country are changing fast. Three years back when I took over, there were huge stocks of wheat in state government godowns. I was pressing the chief ministers of Kerala, Karnataka, Andhra Pradesh and Tamil Nadu to take wheat instead of rice. But now everyday I'm getting requests for wheat from even the chief ministers of southern states. The Kerala chief minister says, "What can I do? In every town there is a bakery."

Q. Is there a mismatch between demand and supply?

A. Because of the 9.2 per cent growth rate and the huge money we spent on employment guarantee schemes in rural India, the purchasing power of the population has increased. Therefore, there is a mismatch between demand and supply of wheat, rice and even pulses. That's why we are facing higher prices.

Q. Will this continue?

A. I'll be frank. Unless and until we reduce the burden of population on land, agriculture

will not be viable. Developing countries which have succeeded in diverting their population to other sectors have been able to resolve the crisis in agriculture. We have to follow that route.

Q. Isn't the government to blame for the downturn?

A. We have improved production. But prices are rising because of the gap between demand and supply. The gap in wheat will be 40 lakh tonne, in pulses 10 lakh tonne and in oilseeds 20 lakh tonne. We have to release some areas of sugarcane farming to make up for these gaps.

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